

so, what you're going to see is a slowing of the pace of the rise, but still approaching over 5 per cent, probably in the vicinity of 5.5 per cent. This will still have an effect on all markets, particularly on stocks. And we are talking about the government rate here; if you have low-grade credit, you can safely add five percentage points to that. So, you're talking about 10-11 per cent, which will have a very severe negative effect, particularly on companies that have so far relied on receiving funding on an ongoing basis. In other words, they don't have enough profits to carry themselves.

Q: Just to pick on the last bit of what you said, if short rates indeed approach 5.5-6 per cent, is that baked into stock prices already? Has the market factored it in fully?

A: No, it's not priced in. What's priced in rather is that there will be a sharp fall in inflation rates. We do know that there will be a fall in inflation rates as some of the exogenous factors like the oil price won't stay up where it is, and some commodity prices and even housing prices will ease off, and so on. So that'll bring inflation down some, but that brings it down from a very high level of 8 per cent to something that's lower than that, and not sustaining. The wage sector, the employment sector is going along relatively well, because [the] unemployment rate is low. So, there's still demand. And the inflation that we're seeing there is also coming from compensation inflation. So, we're going to see those rates rise. So, what you see built into the curve today is a fall-off in rates and a fall-off in inflation. But I believe that you'll see it staying higher than those levels that are built into market expectations now.

Q: For how long though, Ray? Pessimists are warning of a 1970s-like situation where inflation surprises us and lingers

ON INFLATION & INTEREST RATES

We're going to have an inflation rate in the vicinity of 5 per cent. But it's a very uncertain inflation rate. The real interest rate, the rate above inflation, is [going to be] in the vicinity of 1.5 per cent. So the Fed would eventually need to be approaching a 6 per cent risk-free rate. And the Fed will put the short-term rate towards that level, which is very harmful to the economy.

ON INVESTING DURING INFLATION

It's very important for investors to not hold debt instruments over the long term. Over the short term, fixed income is neutral to slightly attractive. Over the long run, always look at your returns relative to inflation. Too many people look at just the level of returns, and don't pay attention to inflation. Third, have a well-diversified portfolio.

ON INDIA'S PROSPECTS

On balance, India should have the highest growth rate. It's opening up to the global capital markets. And largely taking a neutral position in global conflicts. It needs to develop a very strong economy hinging on technology. A number of indicators suggest that it should do very well over the next 10 years.

on at a very high level for many years. What are the risks of that?

A: Those risks are very high. We're at a paradigm shift. We know that we're going to spend a lot more money than we are taking in. In the United States, we will have a budget deficit in the vicinity of 5 per cent of GDP. As is now planned, the Federal Reserve will also sell its bonds, and short-term debt to the tune of about 5 per cent of GDP. That's 10 per cent of GDP. And that's going to create a very tight set of circumstances, which are bad for growth.

You know, there are so many demands on money. We need money for poverty alleviation, building infrastructure, repairing the Ukraine, spending money for climate change. An individual might ask—'How much money do we have? And what should we spend it on?'—but the big difference between individuals and governments is that governments don't have that constraint because they can print money. So, we have this trade-off. Whenever in history, you have a lot of debt and a lot of financial assets, it becomes very, very difficult for those to be balanced. And we're now in a shift. The prior decade, we had falling interest rates, cash was very cheap, free, almost. And so, the whole investment landscape was very much built around that. Now we're having this adjustment away from that. So central banks try to balance growth and inflation. But it will be a very difficult balance, which creates an environment of stagflation, I'm afraid.

Q: Now, the question for any investor, of course, is how do you preserve, or at least conserve, your wealth at a time like this? You're famous for maintaining that cash is trash for most of your investing career. Would you say that even today?

A: Interest rates have now risen to a level where it's not as trashy. When I say cash is trash, I'm looking at it in relation to the inflation rate. When we had zero interest rates almost,